

24SMCV00348 24SMCV00348

County: los-angeles

Division: Civil Law and Motion

Department: 207

Hearing date: 2026-08-20

Source URL: https://www.lacourt.ca.gov/tentativeRulingNet/ui/main.aspx?casetype=civil&dept_date=BH%20%2C207%2C08%2F20%2F2026

Source SHA-256: 8b3b546c6fb31a092efbc4ff249e5b95b01d4da0199efb5aa129498f91b3b8e9

Case Number: 24SMCV00348 Hearing Date: August 20, 2026 Dept: 207

TENTATIVE RULING

DEPARTMENT

207

HEARING DATE

August 20, 2026

CASE NUMBER

24SMCV00348

MOTION

Petition to Approve Minor's Compromise

MOVING PARTY

Petitioner Aimee Joy Bascon Mutia

OPPOSING PARTY

None

BACKGROUND

The

Court has received the petition for approval of compromise of claim or action or disposition of proceeds of judgment for minor or person with a disability filed by Petitioner Aimee Joy Bascon Mutia ("Petitioner") on behalf of minor Claimant Arianna Biosah, age 16 ("Claimant"), seeking to place the settlement proceeds in a special needs trust ("SNT").

At

the hearing on January 14, 2026, the Court previously identified several issues with the Petition. As such, the Court continued the hearing to afford Petitioner an opportunity to address these issues.

On May 8, 2026, Petitioner filed a revised Petition.

DISCUSSION

I.

Status of
the Existing SNT

As a threshold matter, because the creation/implementation of an SNT requires Court approval and supervision, to the extent the Petitioner, Claimant, and/or the proposed co-trustees have already executed the proposed SNT without Court authority/approval, such trust instrument is invalid and void.

Further, to the extent the proposed SNT instrument has already been funded and/or any actions have been taken by the co-trustees on behalf of the SNT, such funding and actions must be refunded and unwound.

II.

Whether
an SNT is in the Minor's Best Interests

Next, the Court notes that due to the high administration costs, SNTs are generally viewed as economically inefficient when being funded with less than \$100,000, or sometimes even less

than \$150,000. Here, the proposed net settlement proceeds are only \$75,000.

Moreover, should the Court ultimately approve the petition, it will require the trustee post a bond in the amount of \$85,000, pursuant to California Rules of Court, Rule 7.903(c)(5), since the proposed trustee is not a corporate fiduciary/trust company.

The Court will also require ongoing court supervision of the trust.

Thus, notwithstanding the minor's autism diagnosis, the Court expresses concern over whether an SNT is an appropriate vehicle for the settlement proceeds and inquires whether there is another method for receiving settlement funds under Probate Code section 3611 that would be more appropriate and economically beneficial to the minor, such as depositing proceeds into a blocked account to be held until the minor turns 18, or purchasing an annuity that would begin paying out after the minor reaches age 18.

III. Issues with the Proposed SNT

Further, having reviewed the revised Petition, the Court identifies the following issues with the proposed SNT:

.

There is no proof of service demonstrating service on the three state agencies and the notice is defective. When seeking approval to fund a special needs trust (SNT), notice of the hearing and service of the petition must be made upon three state agencies including the Dept. of Mental Health, Dept. of Developmental Services, and Dept. of Health Care Services. (See Probate Code section 3611(c), or 3602(f) if there is a conservatorship of the estate or guardianship of the estate for plaintiff.)

· The Proposed SNT improperly provides that upon the death of the minor claimant, net trust assets shall be distributed to "The Szumski Family Living Trust, [dated] 8/20/25" instead of to

“heirs or beneficiaries at law”

in violation of Probate Code, section 6100, subd. (a). (See *Sisco v. Cosgrove*, Michelizzi, Schwabacher, Ward & Bianchi (1996) 51 Cal.App.4th 1302, 1307-1311

[designation of beneficiary to minor's settlement funds constitutes a testamentary act of a minor, in violation of Probate Code section 6100, subd. (a).])

· While the minor's autism diagnosis is sufficient for the Court to make a finding that the minor has a disability that substantially impairs the minor's ability to provide for her own care or custody and constitutes a substantial handicap, there is insufficient information in the petition for the Court to make the following required findings with respect to the special needs trust, pursuant to Probate Code, section 3604, subd. (b):

o

The SNT

beneficiary is likely to have special needs that will not be met without the trust

o

The

money to be paid to the trust does not exceed the amount that appears reasonably necessary to meet the SNT beneficiary's special needs.

.

There

is no consent for the second co-trustee, Nicholas Szumski, to act as trustee

· The Court requires the proposed SNT to include the following term(s), per Local Rule 4.116(b):

o

(b)(4)

The trustee may not borrow money, lend money, give security, lease, convey, or exchange any property of the estate without prior authorization of the court. (Prob. Code, § 2550.)

· The proposed Order must provide for ongoing Court jurisdiction/supervision over the trust

- The proposed Order must include that the

Court requires the trustee to post a bond in the amount of \$85,000, to be submitted to this department (and ultimately resubmitted to the

Probate Court in the trust supervision action) within sixty (60) days of the

Court's approval of the petition.

- The proposed Order must include that the trustee shall submit a Notice of

Commencement of Proceedings for a Court Supervised Trust (form PRO-044) to the Probate division

within sixty (60) days of the Court's approval of the petition.

- The proposed Order must include a date

certain, within fourteen (14) months of the Court's approval of the petition when

the trustee's first annual

accounting shall be filed in

the Probate matter.

- The proposed Order shall also contain a

provision setting an Order to

Show Cause re Settlement

Funding, Bond Submission, and Commencement of Probate Proceedings approximately

sixty (60) days after the Court's approval of the petition.

CONCLUSION

For the foregoing reasons, the

Petition is denied without prejudice.

Further,

the Court continues the hearings on the Order to Show Cause Re: Dismissal

(Settlement) and on the Petition to Confirm Minor's Compromise for December 16, 2026 at 8:30 a.m. in Dept. 207.

Petitioner shall file an amended

petition in conformance with this ruling on or before November 6, 2026 with a revised MC-351 and MC-355, if applicable, addressing or resolving

the issues set forth above.

Petitioner shall provide

notice of the Court's ruling and of the continued hearing, including on the

three required government agencies, as set forth above.

DATED: August

20, 2026 _/s/_____

Michael

E. Whitaker

Judge

of the Superior Court